Looking for MBO opportunities

Focus on the gap between corporate value and share price | October 23, 2026 / MBO GUIDE

What is an MBO?

In a management buyout, managers join the buyer side to acquire their own company. Listed firms may partner with investment funds to seek delisting through a TOB (tender offer). MBO describes who buys; TOB describes how shares are purchased.

Why go private?

The aim may be restructuring and long-term investment in an environment less affected by short-term market judgments. Ordinary shareholders, however, give up their shares and lose the opportunity to enjoy subsequent growth as listed-company shareholders.

The source of profit: an acquisition premium

A TOB may offer a price above the pre-announcement market price to encourage shareholders to tender. This is a premium. Its size is not fixed, and profit is not guaranteed.

Profit potential differs before and after announcement

If a ¥1,000 stock receives a ¥1,400 offer, someone who bought at ¥1,000 gains 40%. Buying at ¥1,380 after announcement leaves about 1.45% upside to ¥1,400. Both examples exclude taxes and fees.

Separate the search for candidates before announcement from investing in completion prospects after announcement.

Five ways to examine candidate companies

Starting points for research, not conditions indicating probability | October 23, 2026 / MBO GUIDE

1. Management and founding-family holdings

Check individuals’ and asset-management companies’ holdings in the major-shareholders section of securities reports. Even large holders may prioritize staying listed; the percentage alone is insufficient.

2. Stable cash generation

If acquisition funding includes debt, earnings that support repayment matter. Beyond one year’s net profit, examine continuity of operating cash flow and whether cash remains after capital expenditure.

3. Substantial assets and profits relative to price

Low P/E and P/B are research starting points. Examine cash, interest-bearing debt, owned assets and normal earnings. Do not count cash needed to run the business as surplus.

4. Reforms sought through delisting

Are reforms needed, such as closing loss-making businesses or major investment, even if they depress short-term profits? Use management plans to check the meaning and benefits of remaining listed too.

5. Capital-policy or major-shareholder changes

Changes in major shareholders, capital-policy reviews and business disposals prompt further research. A fund shareholder may instead seek higher dividends, buybacks or business improvement.

Meeting several criteria does not determine that an MBO will occur. Prioritize public disclosures.

How to assess the acquisition price

Do not judge only by the percentage premium | October 23, 2026 / MBO GUIDE

Conflicts between management and ordinary shareholders

Managers are also on the buying side. Buyers seeking lower acquisition costs and ordinary shareholders seeking a higher price have conflicting interests. There is also an information gap relative to managers who know the company well.

Premium and corporate value are separate

Suppose you value a company at ¥1,800 and an offer raises its ¥1,000 share price to ¥1,400. Even a 40% premium falls short of your estimated value. The value estimate itself is also subject to error.

Read the basis for the price

After announcement, review disclosures such as the notice of MBO implementation and recommendation to tender. Read earnings forecasts, valuation methods and special committee deliberations to understand the price.

Completion conditions and later procedures

Check the tender period, minimum tender level, offer price, price changes and post-completion delisting procedures. If you hold without tendering, confirm in disclosures the eventual timing and process of cash conversion.

Evaluate the size of the premium separately from the fairness of the acquisition price.

Risks when expectations fail

Would you hold the shares even without an MBO? | October 23, 2026 / MBO GUIDE

Before announcement: it may not happen for years

An apparent candidate may never conduct an MBO. If earnings or finances deteriorate meanwhile, the basis for undervaluation can collapse. Consider waiting time and missed investment opportunities.

After announcement: small gain, large loss

If insufficient tenders or other factors prevent completion, shares inflated by expectations may fall. Assume a ¥1,380 purchase, ¥1,400 on completion and ¥1,000 on failure: upside is ¥20; downside is ¥380.

Completion risk in numbers

Under this binary assumption, expected profit/loss = ¥20 × completion probability − ¥380 × failure probability. Even ignoring taxes, fees and time, a positive result requires completion probability above 95%. These are not estimates of actual probability or the failure price.

Three final checks

1. Would you hold at today’s price without an MBO?
2. Do you have criteria to revise valuation if earnings or finances worsen?
3. Has expectation-driven buying already removed the undervaluation?

Estimate value from earnings power and assets, treating MBO potential as an additional consideration.